

Housing Finance Company of Kenya Limited

AUDITED FINANCIAL STATEMENTS AND DISCLOSURES AS AT 30.06.04

I. BALANCE SHEET

	31.12.2003	31.03.2004	30.06.2004
	Audited	Unaudited	Unaudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)
A. ASSETS			
1 Cash and bank balances	214,899	148,774	73,051
2 Government securities	1,775,707	1,586,837	1,638,612
3 Deposits and balances due from banking institutions	752,128	752,293	751,644
4 Government and other securities held for dealing purposes	-	-	-
5 Other assets	436,442	481,293	451,915
6 Tax recoverable	57,134	57,134	57,134
7 Loans and advances to customers (net)	7,095,014	6,955,845	6,894,331
8 Investment securities	-	-	0
9 Balances due from group companies	101,689	101,869	101,869
10 Investment in associates	-	-	0
11 Investment in subsidiaries	55,020	55,020	55,020
12 Investment properties	-	-	0
13 Property and equipment	228,355	218,509	235,890
14 Prepaid operating lease rentals	3,933	3,917	3,905
15 Housing development projects	-	-	0
16 Deferred tax asset	38,323	36,470	25,115
17 Retirement benefit asset	19,884	19,884	19,884
B. TOTAL ASSETS	10,782,528	10,454,846	10,308,370
B. LIABILITIES			
19 Customer deposits	9,421,100	9,046,325	8,856,012
20 Deposits and balances due to banking institutions	-	-	-
21 Balances due to central Bank of Kenya	-	-	-
22 Other money market deposits	-	-	-
23 Borrowed funds	-	-	-
24 Balances due to group companies	24,666	24,344	24,238
25 Other liabilities	177,142	216,819	251,855
26 Tax payable	-	-	0
27 Dividends payable	96,293	96,293	96,293
28 Deferred tax liability	-	-	0
29 Retirement benefit liability	-	-	0
C. TOTAL LIABILITIES	9,719,201	9,383,781	9,227,398
C. SHAREHOLDERS' EQUITY			
31 Paid up capital	575,000	575,000	575,000
32 Share premium	25,705	25,705	25,705
33 Revaluation reserve	100,429	100,429	100,429
34 Retained earnings	311,443	319,181	325,088
35 Proposed dividends	-	-	0
36 Shareholders loans	50,750	50,750	50,750
37 TOTAL SHAREHOLDERS' EQUITY	1,063,327	1,071,065	1,080,972
38 TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	10,782,528	10,454,846	10,308,370

GROUP AND COMPANY DISCLOSURES

	31.12.2003	31.03.2004	30.06.2004
	Audited	Unaudited	Unaudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 Non-Performing Loans and Advances			
a) Total non-performing loans and advances	4,010,932	4,074,971	4,168,817
b) Specific provisions held	375,745	349,270	347,627
c) Net non-performing loans and advances(a-b)	3,635,187	3,725,701	3,821,190
d) Realisable value of securities	5,435,284	4,990,565	4,976,965
e) Net Exposure(c-d)	(1,804,097)	(1,264,864)	(1,155,775)
f) General provisions held	32,259	31,927	31,853
g) Total Provisions for bad debts(b+f)	408,004	381,197	379,480
2 Insider loans and advances			
a) Directors, shareholders and associates	51,690	51,690	58,548
b) Employees	153,521	148,744	147,351
c) Total Insider Loans and Advances	205,211	200,434	205,899
3 Off-Balance Sheet Items			
a) Letters of credit, guarantees and acceptances	6,927	6,808	4,288
b) Other contingent liabilities	-	-	-
c) Total contingent liabilities	6,927	6,808	4,288
4 Capital Strength			
a) Core capital	912,148	916,017	920,971
b) Supplementary capital	75,857	75,857	75,857
c) Total capital (a+b)	988,005	991,874	996,828
d) Total risk weighted assets	8,224,231	8,142,511	8,002,047
e) Core capital / Total deposit liabilities	9.68%	10.13%	10.40%
f) Core capital / Total risk weighted assets	11.09%	11.25%	11.51%
g) Total capital / Total risk weighted assets	12.01%	12.18%	12.46%

II. PROFIT AND LOSS STATEMENT

	31.12.2003	31.03.2004	30.06.2004
	Audited	Unaudited	Unaudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 INTEREST INCOME			
1.1 Loans and advances	1,916,654	350,516	633,407
1.2 Government Securities	100,726	17,206	33,872
1.3 Deposits and Placements with banking institutions	20,037	3,459	9,383
1.4 Other interest income	-	-	-
1.5 Total interest income	2,037,417	371,181	676,662
2 INTEREST EXPENSES			
2.1 Customers' Deposits	396,219	67,431	129,282
2.2 Deposits and placements from banking institutions	-	-	-
2.3 Other interest expenses	4,984	1,047	2,097
2.4 Total interest expenses	401,203	68,478	131,379
3 NET INTEREST INCOME	1,636,214	302,703	545,283
4 OTHER OPERATING INCOME			
4.1 Fees and commissions income	41,430	8,270	18,188
4.2 Foreign exchange trading income	-	-	-
4.3 Dividend income	-	-	-
4.4 Other income	110,708	38,817	78,128
4.5 Total Non interest income	152,138	47,087	96,316
5 TOTAL OPERATING INCOME	1,788,352	349,790	641,599
6 OPERATING EXPENSES			
6.1 Bad and doubtful debts expense	1,018,976	155,152	253,632
6.2 Staff costs	362,267	89,866	177,144
6.3 Directors emoluments	2,876	830	1,683
6.4 Operating lease rental	498	12	25
6.5 Depreciation on property and equipment	26,710	5,972	12,297
6.6 Other operating expenses	264,638	88,367	155,965
6.7 Total Operating Expenses	1,675,965	340,199	610,746
7 Profit before tax and exceptional items	112,387	9,591	30,853
8 Exceptional items (Voluntary Early Retirement Expenses)	-	-	-
9 Profit before tax but after exceptional item	112,387	9,591	30,853
10 Current tax	-	-	-
11 Deferred Tax	(49,912)	(1,853)	(13,208)
12 Profit After Tax	62,475	7,738	17,645

MESSAGE FROM THE DIRECTORS

The above balance sheet and profit and loss account are extracts of the audited financial statements and records of the institution which have been approved by the Board of Directors.

The accounts have been audited by KPMG Kenya and have received an unqualified opinion. A full set of published financial statements will be available at the company's registered office after approval at the forthcoming Annual General Meeting and can be viewed by any interested person (s).

Kung'u Gatabaki Chairman

David R. Ansell Director

Peter J.W. Lewis-Jones Managing Director

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